Route Two: The Investment as the Interest in Property

Route One treats the insurance policy as the relevant target property under Regulation 3100(1), typically relying on the Hexalog "inseparable whole" doctrine to weld the policy and the financing into a single composite property. That reading is available, but it is not the only—or necessarily the strongest—basis for establishing the prescribed-benefit link.

Regulation 3100(1) does not require the prescribed benefit to relate to the insurance policy specifically. It requires an interest in property—a broader term that the promoter's own representations may independently satisfy without any need to characterize the policy and the loan as a single asset.

Consider the mechanics of a typical IFA sales presentation. The promoter does not merely tell the client to "borrow against your policy." The promoter specifies an amount to be borrowed, represents that amount as limited-recourse (by illustrating it as indefinitely deferred until death), directs it into a specific investment, and represents that exact same amount as producing a tax deduction.

In a 100%-matched IFA, the represented borrowed amount, the represented invested amount, and the represented deducted amount are identical. This removes a complication that can arise where only a portion of a represented investment is financed—for instance, a hypothetical arrangement in which a $2 million investment is only $1.5 million financed, requiring a court or reviewer to apportion the shelter analysis across a mixed capital stack of debt and the taxpayer's own equity. A 100%-matched IFA presents no such difficulty: the entire represented amount is financed, the entire amount is invested, and the entire amount is deducted, all in the same document.

On this reading, the represented investment tranche itself is the "interest in property" contemplated by Regulation 3100(1). The prescribed-benefit determination does not depend on characterizing the policy and the financing as an inseparable whole. It follows directly from the plain words of the regulation applied to the promoter's own illustration.

Anticipating the Commingling Defense: The Law Tests the Pitch, Not the Plumbing

A promoter facing this argument may respond that once the borrowed funds are deposited into a large, diversified account—for example, a $20 million corporate portfolio consisting overwhelmingly of the client's own capital—tracing the specific loan becomes impractical. The argument asserts that the financing has therefore become ordinary business or investment financing rather than an integrated tax strategy.

That argument risks importing the current-use analysis under paragraph 20(1)(c) into a completely different statutory regime. For purposes of interest deductibility, the taxpayer may indeed have to establish the current use of borrowed money and its eligible income-earning purpose. That is a tracing question. But the tax-shelter analysis under subsection 237.1(1) asks a fundamentally different question.

The statutory inquiry expressly incorporates statements and representations made in connection with the property, and Regulation 3100(1) defines a prescribed benefit by reference to what may reasonably be expected "having regard to statements or representations made in respect of the interest."

The question is therefore not simply: "*Where did the $100,000 physically go?*"

It is: "*What interest in property was being promoted, what was represented in respect of that interest, and what deductions and benefits could reasonably be expected on the basis of those representations?*"

This distinction requires a rigorous, step-by-step statutory sequence:

1. Identify the property interest.
2. Determine what was represented in respect of it.
3. Determine whether the financing is a limited-recourse amount.
4. Apply Regulation 3100 to determine whether that amount is a prescribed benefit.
5. Calculate the recognized net cost under subsection 237.1(1).
6. Compare that net cost with the represented first-four-year deductions.

The commingling defense primarily attacks Steps 1 and 2 by inappropriately smuggling in paragraph 20(1)(c) tracing logic.

Consider the representation made in a fully financed IFA:

$100,000 insurance premium → $100,000 financing → $100,000 investment → represented interest deduction.

The promoter has therefore presented a specific relationship among the insurance acquisition, the financing, the investment, and the represented deduction. The promoter's own representation provides evidence identifying the investment interest to which the financing and represented deductions relate.

The subsequent fact that the $100,000 is deposited into a $1 million corporate investment account does not, by itself, erase the representation that was made when the arrangement was sold. The plumbing of the funds after closing is not a substitute for the statutory inquiry into the pitch made at inception.

The T5001 Confirmation

The CRA's own administrative framework provides unusually useful confirmation of this distinction.

Form T5001, used by promoters to apply for a Tax Shelter Identification Number, requires the promoter to identify the largest deduction represented as potentially allowable to the purchaser, and it specifically includes "Interest expense" as one of the prescribed categories. It then requires the promoter to report the gross deductions represented for each of the first four years.

The legal force of the tax-shelter regime comes strictly from the Income Tax Act and Regulations, not from administrative forms. Indeed, the CRA expressly states that a tax-shelter identification number is administrative and does not guarantee the taxpayer is entitled to the proposed tax benefits. However, the T5001 shows exactly how the CRA expects promoters to operationalize the representation-based regime.

The CRA is not asking the promoter, on the T5001, to predict how the purchaser will subsequently commingle borrowed funds with pre-existing capital. It is asking the promoter to disclose what deductions are represented to the purchaser in the first four years.

A promoter cannot have it both ways. If the promotional illustration says: *"Borrow $100,000 against this insurance arrangement, invest the $100,000, and deduct $5,000 of interest,"* the promoter has made a strict representation about the tax consequences of the investment arrangement.

The promoter cannot then respond: "But after the loan was advanced, the $100,000 entered a much larger account, so you must ignore the relationship represented in our illustration." That confuses the taxpayer's *subsequent* tracing exercise for claiming an interest deduction with the promoter's point-of-sale representations.

Ultimately, tracing matters enormously under paragraph 20(1)(c). But it does not follow that subsequent commingling overrides the representations that determine whether the original arrangement was a tax shelter under subsection 237.1(1). The law tests the pitch, not the plumbing.

A Practical Consequence: Preserving the Policy's Cost Basis

Route Two carries a material practical advantage for clients seeking to exit these arrangements. Where the limited-recourse amount is determined to be a prescribed benefit in respect of the client's interest in the reinvested funds—rather than in respect of the insurance policy itself—the cost-basis reduction under subsection 143.2(6) attaches to the investment, not to the policy.

In practice, this means a client who unwinds the financing and retains the policy may preserve the policy's adjusted cost basis, limiting exposure on a future surrender or disposition to the investment side of the arrangement. This is a meaningful distinction: cost-basis erosion under section 143.2 is often the most durable and punishing consequence of these structures, following the taxpayer for as long as the asset is held. A theory that confines that erosion to the investment materially reduces the client's long-term exposure on the insurance policy.

This should be understood as the better-supported reading, not a foreclosed conclusion. Nothing prevents the CRA or a reviewing court from finding, in the alternative, that the policy independently qualifies as property under the Hexalog line of reasoning (Route One)—in which case both the investment and the policy could be exposed to cost-basis reduction. Advisors should treat Route Two as the stronger basis for structuring and risk assessment, while recognizing that Route One remains available to the CRA as a fallback position.

A Note on Circularity

It may be tempting to characterize this analysis as circular: the arrangement is a tax shelter because net cost is zero, and net cost is zero because the arrangement is a tax shelter.

It is not circular. The limited-recourse determination under subsections 143.2(7) and (12), and the prescribed-benefit determination under Regulation 3100(1), are made independently of—and strictly prior to—the net-cost calculation under subsection 237.1(1).

Each step turns on its own distinct facts: whether a bona fide written repayment arrangement existed at inception, and whether the promoter's representations tie a limited-recourse amount to an interest in property (under either Route One or Route Two above). The $0 net cost is the computed output of applying these two independent statutory tests to the represented facts. It is not an assumption smuggled in to reach the shelter classification.

The Consequences of an Unregistered Tax Shelter

By law, a promoter must register a tax shelter with the CRA and obtain a Tax Shelter Identification Number before selling it. Based on the files we have reviewed to date, we have not seen these arrangements registered with a Tax Shelter Identification Number.

If a client's arrangement is assessed as an unregistered tax shelter, the potential CRA assessing positions are severe. Based on active CRA field audits, these reassessments are being applied retroactively to the date of the policy's purchase:

1. **Retroactive Denial of Deductions:** Under s. 237.1(6), the CRA can automatically disallow all paragraph 20(1)(c) interest and paragraph 20(1)(e.2) NCPI deductions claimed under the arrangement, going back to the date the policy was purchased. The ITA explicitly states that without a valid Tax Shelter Number, no person may claim any deduction for any year.
2. **Reduction of Cost Basis**: Section 143.2 contains rules that can reduce the amount of an expenditure or capital cost associated with a tax shelter investment by specified limited-recourse amounts, exposing future policy distributions or the sale of assets acquired with the borrowed funds to increased taxation.
3. **Surplus Stripping & GAAR:** Section 143.2 contains rules that can reduce the amount of an expenditure or capital cost associated with a tax shelter investment by specified limited-recourse amounts, exposing future policy distributions or the sale of assets acquired with the borrowed funds to increased taxation.
4. **Third-Party Penalties:** Under Section 237.1(7.4), selling an unregistered tax shelter triggers a strict penalty equal to 25% of the total "consideration" received. Separately, Section 163.2 allows the CRA to levy third-party civil penalties on planners or advisors who demonstrate culpable conduct or gross negligence in promoting non-compliant structures.